



WHAT IS COMMON to Kotak Mahindra Bank, YES Bank, IDFC First Bank, and Bandhan Bank? Over the past two decades, the Reserve Bank of India (RBI) has granted universal banking licences to only these applicants. All have had their own sets of challenges, with the first three having seen their founding CEOs depart. And in April, Chandra Shekhar Ghosh, Bandhan Bank's Founder, decided to retire as CEO, despite its board approving a three-year extension, pending RBI approval.

The first three banks have managed to overcome some of the challenges after their founder-MDs left, but Bandhan Bank will begin its journey with its founder not even being a part of its board. While Bandhan is gradually recovering from a long period of asset quality deterioration and lower profitability, why is Ghosh leaving when his top two deputies are relatively new?

Sitting in his well-appointed office at the bank's headquarters in Kolkata, Ghosh gives his reasons. "It (retirement) was always on my mind. The question was, 'When?'," says the soft-spoken Ghosh, adding that he was keeping track of three factors. The first was when the bank would "achieve stability". "Stability, to me, means that after the challenges of the pandemic, the bank's portfolio quality and growth would be in the best position. Second, I wanted to ensure my team was strong enough to execute any strat-

BANDHAN'S REPORT CARD

- Bandhan's net profit has still not recovered to the level that it was in FY20
- There has been a massive fall in RoA since FY18

Particulars	FY18	FY19	FY20	FY21	FY22	FY23	FY24
Total income (in ₹ crore)	5,508	7,706	12,435	14,546	16,694	18,373	21,034
Net profit (in ₹ crore)	1,346	1,952	3,024	2,205	126	2,195	2,230
Gross NPA (in %)	1.25	2.04	1.48	6.81	6.46	4.87	3.84
Net NPA (in %)	0.58	0.58	0.58	3.51	1.66	1.17	1.11
RoA (in %)	4.06	4.23	3.64	2.13	0.11	1.56	1.44

SOURCE BANK PRESENTATION



"We've built our capability around specific industries where we can deepen our relationships with customers... [and] acquire corporate salary accounts and attract low-cost deposits"

RATAN KUMAR KESH
ED & COO, BANDHAN BANK

egy we devised, and I needed to have confidence in their capabilities," he explains. The third factor was the IT transformation that was completed in October 2023. "I've been evaluating these three key factors every month. Once I saw that these parameters had reached an optimal level, I felt it was the right time to step aside and facilitate a smooth transition," he says.

While the bank's asset quality has improved, profitability is still not at its peak, and the return on assets (RoA) has dropped to 1.44% in FY24 from 4.23% in FY19. The senior management team is also relatively new, with EDs Ratan Kumar Kesh and Rajinder Kumar Babbar joining the bank and its board within the past 15 months. Over nine years, Ghosh was unable to groom a successor, partly due to the departure of senior profession-